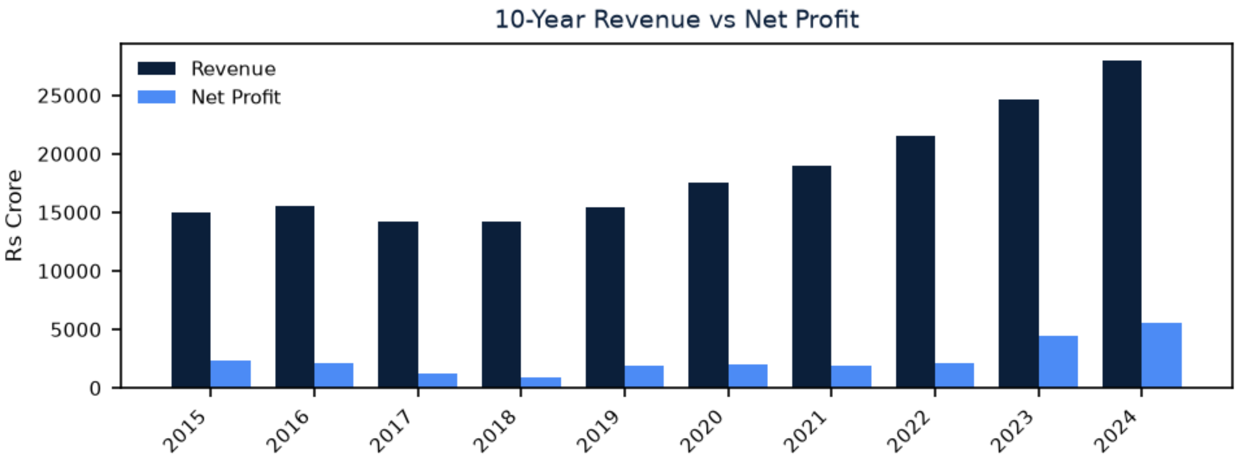
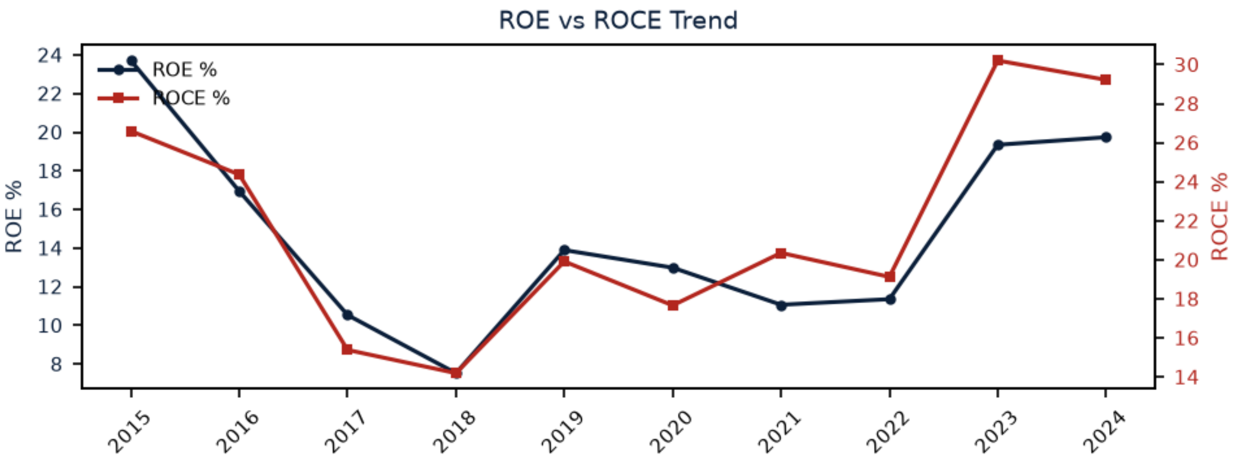
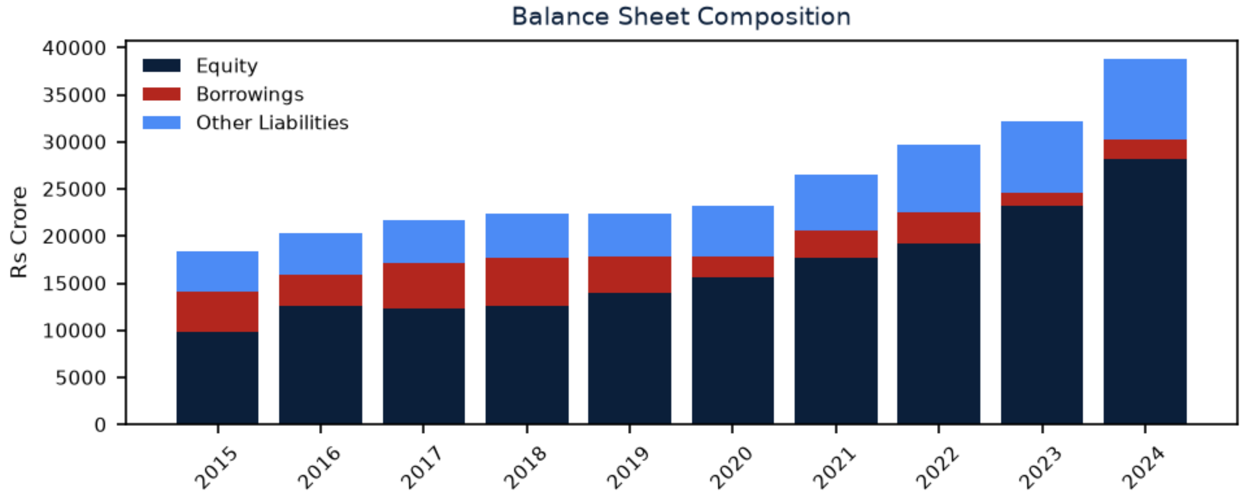
Dr Reddys Laboratories Ltd

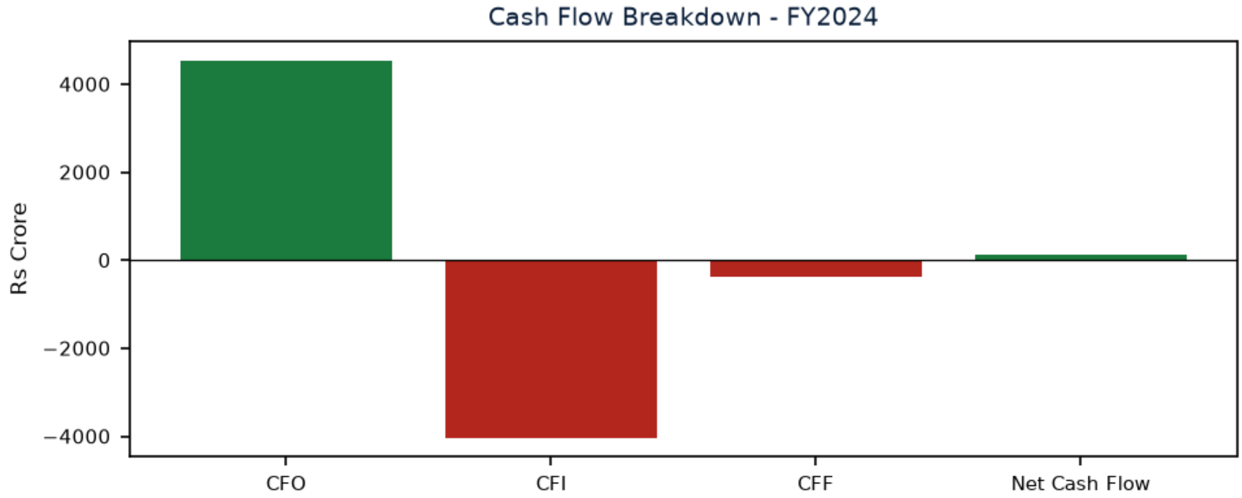
DRREDDY

19.7% ROE	**29.2%** ROCE	**0.1x** D/E
28.3% OPM	**12.6%** Revenue CAGR 5yr	**23.4%** PAT CAGR 5yr









Pros

+ Very high interest coverage ratio reflects negligible financial stress from debt servicing
+ Revenue growing slower than profits shows improving operating leverage and scale benefits
+ Return on equity improving for 3 consecutive years shows strengthening business quality
+ Strong free cash flow generation over 5 years signals healthy business fundamentals
+ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
+ Operating profit margin above 25% indicates strong pricing power and cost discipline

Cons

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

Capital Allocation Pattern

Reinvestor